BUSINESS / BC GRADE 12

Supply, demand & equilibrium

Explain price and quantity changes in a simple market.

Economics 12 · introductory market model

01 Read the axes

In the standard model, price is on the vertical axis and quantity on the horizontal axis. Demand shows quantities buyers are willing and able to purchase at different prices, holding other influences constant.

02 Distinguish a move from a shift

A change in the good's own price causes movement along a curve. A change in another influence, such as production cost or consumer preference, can shift a curve. Supply typically slopes upward; demand typically slopes downward.

03 Find equilibrium

Equilibrium is where quantity demanded equals quantity supplied. Below the equilibrium price, a shortage can occur; above it, a surplus can occur. The simple model is a tool and depends on its assumptions.

Worked example

Demand rises while supply is unchanged

Suppose a product becomes more popular. Demand shifts right. In the standard upward-sloping supply/downward-sloping demand model, the new equilibrium has a higher price and a higher quantity. This is not just movement along the old demand curve.

Watch out: When both curves shift, you may need the relative sizes of shifts to determine the direction of every outcome.

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Try it. Then check it.

Work through these questions before looking at the answers.

1. What happens to equilibrium price and quantity if supply increases while demand is unchanged?

2. Does a fall in the good's own price shift its demand curve?

3. At a price above equilibrium, quantity supplied is 80 and quantity demanded is 50. Find the imbalance.

Answer key

1. With standard slopes, supply shifts right: equilibrium price falls and quantity rises.

2. No. It produces movement along the existing demand curve, other things equal.

3. A surplus of 30 units: 80 supplied minus 50 demanded.

One-minute recap

Close the notes. Explain one key idea in your own words, then retry the question you found most difficult.

About this guide

Original Study Bridge topic review prepared with AI assistance. Suggested course fit, not complete or official course coverage. Compare with your teacher's materials. Examples and practice questions are newly written.

Official course context: Economics 12 · introductory market model

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